FAMILY BANK LIMITED

UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 30TH SEPTEMBER 2020

STATEMENT OF FINANCIAL POSITION

		BANK				GROUP			
		Sep 2019 Un-Audited Shs.`000	Dec 2019 Audited Shs.`000	Mar 2020 Un-Audited Shs.`000	Jun 2020 Un-Audited Shs.`000	Sep 2020 Un-Audited Shs.`000	Sep 2019 Un-Audited Shs.`000	Dec 2019 Audited Shs.`000	Sep 2020 Un-Audited Shs.`000
A	**ASSETS**								
1	Cash (both Local & Foreign)	3,018,412	3,394,733	3,370,847	3,411,630	3,822,987	3,018,412	3,394,733	3,822,987
2	Balances with Central Bank of Kenya	7,432,926	3,566,591	4,642,858	8,953,328	3,908,728	7,432,926	3,566,591	3,908,728
3	Kenya Government & other Securities held for dealing purposes	-	-	-	-	-	-	-	-
4	Financial Assets at Fair Value through Profit & Loss	-	-	-	-	-	-	-	-
5	Investment Securities:		-			-		-	-
	(i) Held to Maturity:								
	(a) Kenya Government Securities	6,697,996	8,187,378	9,182,846	8,438,147	8,800,936	6,697,996	8,187,378	8,800,936
	(b) Other Securities	405,747	399,847	412,894	-	-	405,747	399,847	-
	(ii) Available for Sale:		-					-	-
	(a) Kenya Government Securities	-	1,662,515	2,066,109	2,000,000	7,200,000	-	1,662,515	7,200,000
	(b) Other Securities	-	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	3,833,277	1,590,437	1,147,011	1,547,122	490,291	3,833,277	1,590,437	490,291
7	Deposits and balances due from banking institutions abroad	695,003	1,188,937	839,324	321,771	1,001,796	695,003	1,188,937	1,001,796
8	Tax recoverable	552,199	-	-	198,229	242,355	569,480	19,423	273,257
9	Loans and advances to customers (net)	49,336,332	50,594,439	53,026,691	54,880,867	57,130,536	49,336,332	50,594,439	57,130,536
10	Balances due from Banking Institutions in the Group	-	-	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-	-	-
12	Investments in subsidiary companies	1,000	1,000	1,000	1,000	1,000	-	-	-
13	Investments in joint ventures	-	-	-	-	-	-	-	-
14	Investment properties	18,200	23,400	23,400	23,400	23,400	18,200	23,400	23,400
15	Property and equipment	2,502,317	4,027,944	3,838,034	3,636,454	3,382,253	2,505,094	4,030,367	3,384,039
16	Prepaid lease rentals	140,398	139,220	140,668	139,509	138,350	140,398	139,220	138,350
17	Intangible assets	494,889	467,573	442,089	418,232	397,604	516,869	486,843	413,722
18	Deferred tax asset	241,911	885,542	885,542	885,542	885,542	241,911	885,542	885,542
19	Retirement benefit asset	-	-	-	-	-	-	-	-
20	Other assets	3,555,816	2,727,569	2,173,283	2,055,409	2,738,412	3,575,897	2,748,001	2,739,739
	TOTAL ASSETS	**78,926,424**	**78,857,125**	**82,192,596**	**86,910,641**	**90,164,189**	**78,987,541**	**78,917,672**	**90,213,322**
B	**LIABILITIES**								
21	Balances due to Central Bank of Kenya	-	-	-	-	994,580	-	-	994,580
22	Customer deposits	60,431,181	58,275,571	61,362,696	66,946,300	69,675,188	60,234,845	58,054,485	69,389,503
23	Deposits and balances due to local banking institutions	113,160	56,906	191,646	184,818	168,065	113,160	56,906	168,065
24	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-
25	Other money market deposits	-	-	-	-	-	-	-	-
26	Borrowed funds	3,986,786	3,954,679	3,620,868	3,579,348	3,067,386	3,986,786	3,954,679	3,067,386
27	Balances due to Banking Institutions Group Companies	-	-	-	-	-	-	-	-
28	Tax payable	-	290,095	408,623	-	-	-	290,095	-
29	Dividends payable	1,376	1,079	1,079	23,494	7,345	1,376	1,079	7,345
30	Deferred tax liability	-	-	-	-	-	535	1,421	1,421
31	Retirement benefit liability	-	-	-	-	-	-	-	-
32	Other liabilities	2,301,553	3,870,592	3,922,909	3,475,706	3,093,837	2,365,377.00	3,942,581	3,163,395
	TOTAL LIABILITIES	**66,834,056**	**66,448,922**	**69,507,821**	**74,209,666**	**77,006,401**	**66,702,079**	**66,301,246**	**76,791,695**
C	**SHAREHOLDERS' FUNDS**								
33	Paid up /Assigned capital	1,287,108	1,287,108	1,287,108	1,287,108	1,287,108	1,287,108	1,287,108	1,287,108
34	Share premium	5,874,662	5,874,662	5,874,662	5,874,662	5,874,662	5,874,662	5,874,662	5,874,662
35	Revaluation reserves	192,624	278,424	278,424	278,424	278,424	192,624	278,424	278,424
36	Retained Earnings	4,737,974	4,968,009	5,244,581	5,260,781	5,314,285	4,931,069	5,176,233	5,578,124
37	Statutory loan reserves	0	-	-	-	403,309	-	-	403,309
38	Other Reserves	-	-	-	-	-	-	-	-
39	Proposed dividends	-	-	-	-	-	-	-	-
40	Capital grants	-	-	-	-	-	-	-	-
	TOTAL SHAREHOLDERS' FUNDS	**12,092,368**	**12,408,203**	**12,684,775**	**12,700,975**	**13,157,788**	**12,285,463**	**12,616,426**	**13,421,626**
42	Minority Interest								
	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	**78,926,424**	**78,857,125**	**82,192,596**	**86,910,641**	**90,164,189**	**78,987,541**	**78,917,672**	**90,213,322**

STATEMENT OF COMPREHENSIVE INCOME

		BANK				GROUP			
		Sep 2019 Un-Audited Shs.`000	Dec 2019 Audited Shs.`000	Mar 2020 Un-Audited Shs.`000	Jun 2020 Un-Audited Shs.`000	Sep 2020 Un-Audited Shs.`000	Sep 2019 Un-Audited Shs.`000	Dec 2019 Audited Shs.`000	Sep 2020 Un-Audited Shs.`000
	INTEREST INCOME								
1	Loans and advances	4409765.00	6,081,504	1,660,621	3,445,665	5,365,608	4,409,765	6,081,504	5,365,608
2	Government securities	613,587	817,790	309,513	631,851	991,977	613,587	817,790	991,977
3	Deposits and placements with banking institutions	120,892	180,012	14,599	45,584	91,553	120,892	180,012	91,553
4	Other Interest Income	39,142	52,333	13,046	22,797	22,797	39,142	52,333	22,797
	Total interest income	**5,183,386**	**7,131,639**	**1,997,779**	**4,145,898**	**6,471,936**	**5,183,386**	**7,131,639**	**6,471,936**
	INTEREST EXPENSE								
5	Customer deposits	1,195,234	1,651,326	464,027	964,434	1,526,033	1,188,044	1,640,403	1,512,657
6	Deposits and placement from banking institutions	10,343	11,840	6,784	13,164	17,036	10,343	11,840	17,036
7	Other interest expenses	364,173	475,619	111,420	231,823	342,453	364,173	475,619	342,454
	Total interest expenses	**1,569,750**	**2,138,785**	**582,232**	**1,209,421**	**1,885,522**	**1,562,559**	**2,127,862**	**1,872,147**
	NET INTEREST INCOME	**3,613,637**	**4,992,855**	**1,415,547**	**2,936,476**	**4,586,414**	**3,620,827**	**5,003,778**	**4,599,789**
	OTHER OPERATING INCOME								
8	Fees and commissions on loans and advances	99,662	130,224	32,676	64,988	97,092	99,662	130,224	97,092
9	Other fees and commissions	1,364,154	1,868,308	466,499	825,459	1,248,801	1,364,154	1,868,308	1,248,801
10	Foreign exchange trading income	297,030	390,760	133,411	196,231	262,071	297,030	390,760	262,071
11	Dividend Income	-	-	-	-	-	-	-	-
12	Other income	208,234	297,017	37,113	125,769	290,171	293,289	412,289	407,568
	Total non-interest income	**1,969,081**	**2,686,309**	**669,699**	**1,212,447**	**1,898,135**	**2,054,136**	**2,801,581**	**2,015,533**
	TOTAL OPERATING INCOME	**5,582,717**	**7,679,164**	**2,085,246**	**4,148,924**	**6,484,548**	**5,674,963**	**7,805,359**	**6,615,324**
	OPERATING EXPENSES								
13	Loan loss provision	572,434	734,307	277,675	451,351	866,068	572,434	734,307	866,068
14	Staff costs	1,395,418	1,989,359	557,447	1,215,123	1,701,046	1,420,089	2,029,860	1,738,424
15	Directors' emoluments	72,445	95,416	41,844	66,445	92,041	76,285	100,906	98,843
16	Rental charges	461,818	628,013	169,945	314,463	463,619	461,818	628,013	463,619
17	Depreciation charge on property and equipment	407,803	542,212	133,121	265,519	393,252	412,494	549,414	397,068
18	Amortisation charges	91,844	120,861	30,777	60,817	91,007	91,844	120,861	91,007
19	Other operating expenses	1,629,648	2,216,759	479,342	972,960	1,464,344	1,631,965	2,219,169	1,471,823
	Total operating expenses	**4,631,410**	**6,326,927**	**1,690,151**	**3,346,678**	**5,071,377**	**4,666,928**	**6,382,530**	**5,126,852**
							- 1		
	Profit Before Tax and Exceptional Items	**951,307**	**1,352,237**	**395,095**	**802,245**	**1,413,171**	**1,008,034**	**1,422,829**	**1,488,472**
20	Exceptional items	-	-	-	-	-	-	-	-
	Profit After Exceptional Items	**951,307**	**1,352,237**	**395,095**	**802,245**	**1,413,171**	**1,008,034**	**1,422,829**	**1,488,472**
21	Current tax	(285,392)	(456,282)	(118,528)	(200,561)	(353,292)	(303,361)	(472,993)	(372,977)
22	Deferred tax		-					-	
	Profit After Tax and Exceptional Items	**665,915**	**895,955**	**276,567**	**601,684**	**1,059,879**	**704,673**	**949,836**	**1,115,495**
	Other Comprehensive Income:								
	Gains/(Losses) from Translating the Financial Statements of								
23	Foreign Operations	-	-	-	-	-	-	-	-
24	Fair Value changes in Available-fo-sale Financial Assets	-	-	-	-	-	-	-	-
25	Revaluatation Surplus on Property, Plant and Equipment	-	85,800	-	-	-	-	85,800	-
26	Share of other Comprehensive Income of Associates	-	-	-	-	-	-	-	-
	Income Tax Relating to Components of other Comprehensive								
27	Income	-	-	-	-	-	-	-	-
	Other Comprehensive Income for the Year Net of Tax	**-**	**85,800**	**-**	**-**	**-**	**-**	**85,800**	**-**
	TOTAL COMPREHENSIVE INCOME FOR THE YEAR	**665,915**	**981,755**	**276,567**	**601,684**	**1,059,879**	**704,673**	**1,035,636**	**1,115,495**
	EARNINGS PER SHARE- BASIC & DILUTED	**0.52**	**0.76**	**0.21**	**0.47**	**0.82**	**0.55**	**0.80**	**0.87**
	DIVIDEND PER SHARE -DECLARED	**-**	**-**	**0.24**	**-**	**-**	**-**	**-**	**-**

OTHER DISCLOSURES

		BANK				
		Sep 2019 Un-Audited Shs.`000	Dec 2019 Audited Shs.`000	Mar 2020 Un-Audited Shs.`000	Jun 2020 Un-Audited Shs.`000	Sep 2020 Un-Audited Shs.`000
1.0	**NON-PERFORMING LOANS AND ADVANCES**					
1.1	(a) Gross Non-performing loans and advances	8,283,414.00	8,244,017	8,999,094.00	9,135,545	9,227,844
1.2	(b) Less Interest in Suspense	1,088,068	1,116,797	1,166,202	1,220,791	1,257,077
1.3	**(c)Total Non-Performing Loans and Advances (a-b)**	**7,195,346**	**7,127,220**	**7,832,892**	**7,914,754**	**7,970,767**
1.4	(d) Less Loan Loss Provision	2,562,881	2,677,764	3,011,813	3,403,457	3,777,705
1.5	**(e) Net Non-Performing Loans and Advances(c-d)**	**4,632,465**	**4,449,456**	**4,821,079**	**4,511,297**	**4,193,062**
1.6	(f) Discounted Value of Securities	4,314,323	4,146,827	4,494,273	4,327,877	3,982,159
1.7	**(g) Net NPLs Exposure (e-f)**	**318,143**	**302,629**	**326,806**	**183,419**	**210,903**
2.0	**INSIDER LOANS AND ADVANCES**					
2.1	(a) Directors, Shareholders and Associates	2,346,156	2,325,296	2,261,950	1,705,985	1,649,287
2.2	(b) Employees	1,173,245	1,184,169	1,202,616	1,068,380	1,151,428
2.3	**(c)Total Insider Loans and Advances and other facilities**	**3,519,401**	**3,509,465**	**3,464,566**	**2,774,365**	**2,800,715**
3.0	**OFF-BALANCE SHEET ITEMS**					
3.1	(a)Letters of credit,guarantees, acceptances	4,939,875	5,050,889	6,702,343	7,441,293	8,476,511
3.2	(b) Forwards Swaps & Options	6,392,988	4,599,890	3,028,759	3,081,302	3,156,462
3.3	(c)Other contingent liabilities	156,812	267,877	178,272	259,000	251,731
3.4	**(d)Total Contingent Liabilities**	**11,489,676**	**9,918,656**	**9,909,374**	**10,781,595**	**11,884,704**
						-
4.0	**CAPITAL STRENGTH**					-
4.1	(a)Core capital	**11,324,874**	**11,244,237**	**11,382,523**	**11,236,168**	**11,060,571**
4.2	(b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
4.3	(c)Excess (a-b)	**10,324,874**	**10,244,237**	**10,382,523**	**10,236,168**	**10,060,571**
4.4	(d) Supplementary Capital	2,018,800	2,018,800	2,018,800	2,018,800	2,422,109
4.5	**(e) Total Capital (a+d)**	**13,343,674**	**13,263,037**	**13,401,323**	**13,254,968**	**13,482,681**
4.6	(f)Total risk weighted assets	69,818,900	70,978,185	71,801,040	73,487,930	76,337,656
4.7	**(g) Core Capital/Total deposits Liabilities**	18.74%	19.3%	18.5%	16.8%	15.9%
4.8	(h) Minimum statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%
4.9	(I) Excess	10.7%	11.3%	10.5%	8.8%	7.9%
4.10	**(j) Core Capital / Total risk weighted assets**	16.2%	15.8%	15.9%	15.3%	14.5%
4.11	(k) Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%	10.5%
4.12	(l) Excess (j-k)	5.7%	5.3%	5.4%	4.8%	4.0%
4.13	**(m) Total Capital/Total risk weighted assets**	19.1%	18.7%	18.7%	18.0%	17.7%
4.14	(n) Minimum statutory Ratio	14.5%	14.5%	14.5%	14.5%	14.5%
4.15	(o) Excess (m-n)	4.61%	4.2%	4.2%	3.5%	3.2%
4.16	(p) Core Capital/Total deposits Liabilities*	19.4%	19.9%	19.1%	17.2%	16.2%
4.17	(q) Core Capital / total risk weighted assets*	16.8%	16.3%	16.3%	15.7%	14.8%
4.18	(r) Total Capital/total risk weighted assets*	19.7%	19.2%	19.1%	18.4%	18.0%
5.0	**LIQUIDITY**					
5.1	(a) Liquidity Ratio	36.6%	33.1%	34.0%	36.60%	34.0%
5.2	(b) Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%	20.0%
5.3	(c) Excess (a-b)	16.6%	13.1%	14.0%	16.6%	14.0%

* The adjusted capital ratios include the expected credit loss provisions added back to capital in line with Central Bank of Kenya

The above statement of financial position, statement of comprehensive income and other disclosures are extracts from the books of the Bank. The complete set of the financial statements, statutory and qualitative disclosures can be accessed on the institution's website **www.familybank.co.ke.** They may also be accessed at the institutions Head Office located at Family Bank Towers, Muindi Mbingu Street, Nairobi.

Signed:

Rebecca Mbithi
Managing Director & CEO

Lazarus Muema
Director

Family Bank
With you, for life

Family Bank is regulated by the Central Bank of Kenya